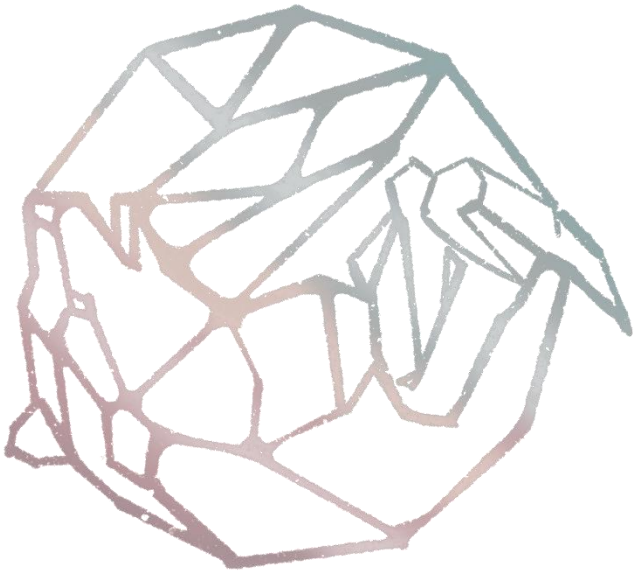


THE SHADES OF TRADES:

THE TRADER'S PLAYBOOK

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FOUNDER, THE SHADES OF TRADES



THE SHADES OF TRADES

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BY

APOORVA SHARMA

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THANK YOU!

We are delighted to have you with us and appreciate your trust in purchasing **The Trader's Playbook**. This eBook is designed to empower you with actionable insights and proven strategies to elevate your trading journey.

Navigating the complexities of the market can often feel overwhelming, especially for newcomers. At The Shades of Trades, we understand the challenges that traders face, and this booklet has been created to simplify the process, build a strong foundation, and equip you with the confidence to make informed trading decisions.

With a practical, hands-on approach, this guide focuses on strategies that work in real-world scenarios. We aim to eliminate the noise and deliver clear, actionable tips that you can apply immediately to achieve better results.

As part of our effort to foster a thriving learning environment, we invite you to join our exclusive Discord community. Please follow the link below to send your request for access. Kindly ensure that your Discord username matches the name used during registration for seamless verification.

Discord Server Link: https://discord.gg/E65QkyhPFw

We sincerely hope that this booklet serves as a valuable resource on your trading journey. Let us explore the markets together with curiosity and a commitment to growth.

Warm regards,
The Shades of Trades

PREFACE

I get to talk to a lot of newcomers, aspiring traders, inundated with that one question "Where do I start?" I have seen a trend in the recent times that when a complete novice finally gathers the courage to dive into this complex world of numbers, the stock market, especially in the post-pandemic era, they often find themselves overwhelmed. Their journey begins with a whirlwind of information that can seem daunting and chaotic.

Whether they turn to books, YouTube videos, Instagram, Telegram, or any other learning platform, they are bombarded with countless strategies. Many of these may not even be effective in real market conditions, may lack individual essence & basic market understanding & yet they can instil a sense of panic before the individual even takes their first step. I can definitely say "Been there, done that". When I began trading markets back around 7-8 years, the problem was different, the information was extremely limited & it was difficult to find even a couple of sources to gather information surrounding the stock market, but now, the story is vastly different. The sheer volume of information is paralyzing, leaving newcomers confused about what to trust and complicating their understanding of the market significantly.

The purpose of this booklet is to simplify stock market trading for people who know nothing to maybe everything about the markets. I know if you are here, reading this, you are wanting to bring about a change in your trading career & I am sure you will find the answer to all your big, small questions, right here.

AN OVERVIEW OF MY APPROACH & STRATEGY

I am a price action trader; I have been trading markets for over 7 years. I use no indictors. My strategy is built around more than 100 years logics of price & price understanding. Charts are the way to communicate with price, it's like if "bhav bhagwan che" then charts are the place where you begin your prayers, build connections & trust, surrender, learn, unlearn & begin the journey to be a better "you" every day.

Over the years, I have built a connect with charts. It's like they talk to me every time I sit in front of them, telling me a story that only I can unfold & that's the beauty of price & it's movement; If there are hundred highly efficient chartists going over a chart, they all might have completely differentiated conclusions to the story it is telling.

Now, the point here is not to get confused but get a firm grip over chart reading & understanding, so let's dive into it.

BUILDING CONNECTIONS

Chart Reading & building connection with the chart is both a technical & psychological concept. You just don't get to trade a chart right away; you have to sit with it & plan your ways around all the "what might happen" scenarios. In order to get to that level of expertise, you have to get used to spending hours with the charts.

PLOTTING YOUR WAY AROUND CHARTS

- I will be telling you the most simplified way. Just focus on trendlines & levels.
- The purpose is not to mark random drawings on the chart but meaningful levels & trendlines.
- Trendlines are about trend definition. It could be trend continuation or trend change.
- Levels, technically referred to as support & resistance, are based on the belief that a level respected in past will again be respected by price in the future.
- We are marking the crucial levels to build a connection with the chart. Sometimes that connection will turn into a trade, other times it might not.

TRENDLINES

To kick it off with some basic chart formations,

BULLISH CHART:

Bullish chart is referred to a chart in which price has supposedly been rising in the recent past. This gives us an idea that the trend is bullish.



BEARISH CHART:

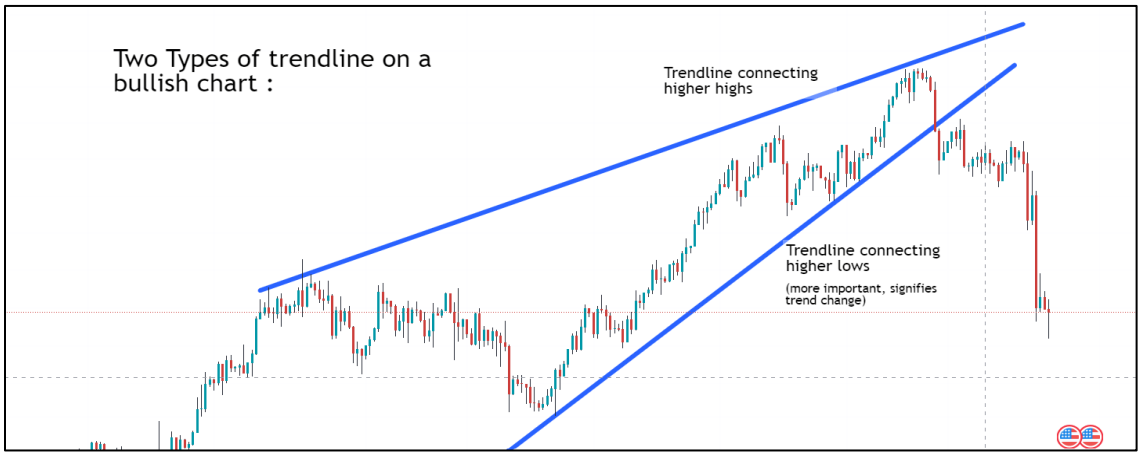
Bearish chart is referred to a chart in which the price has supposedly been falling in the recent past signifying the trend as bearish.



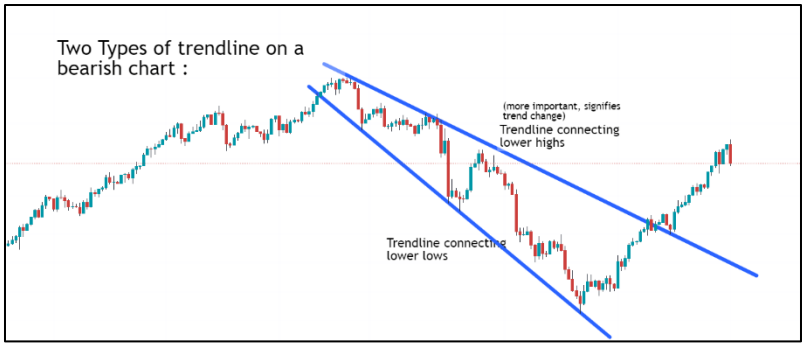
As a rule of thumb, A bullish chart originates from a support & ends at a resistance. A Bearish Chart, on the other hand, originates from a resistance & ends at a support

RULES TO DRAW ACCURATE TRENDLINE & LEVELS

1. Trendlines must preferably be drawn keeping in view, the wick of the candle for maximum structure & precision in the process. In case the wick is missing, the body of the candle can be used.
2. The more the touchpoints, the more accurate the trendline will be.
3. At least two touchpoints are required to draw a trendline.



4. Trendlines help detect continuation of trend or change of trend & must be drawn with the intent to be used for similar purposes



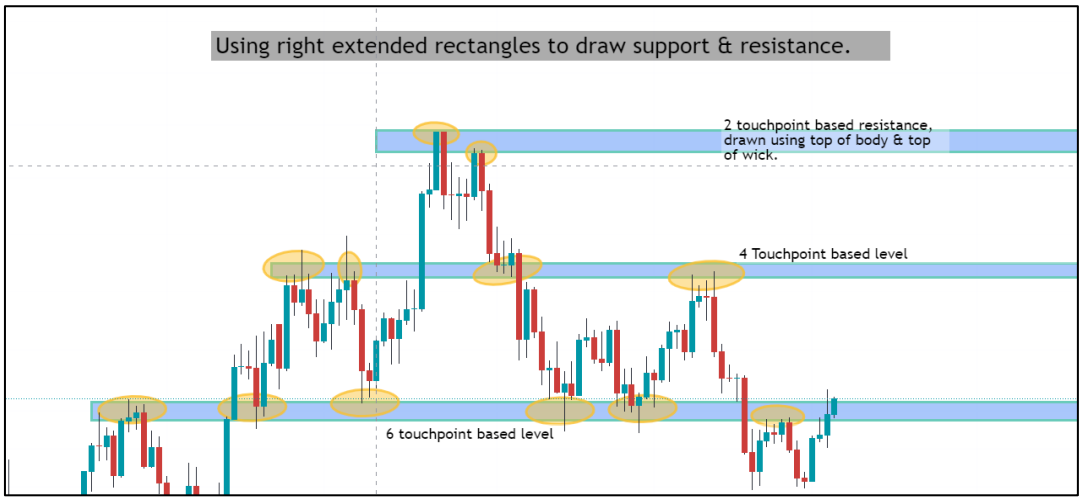
5. A trendline is a valid trendline when it originates from where the trend begins. A trendline drawn from a random point in the middle might provide inaccurate results & subpar reliability.

6. The purpose to mark trendlines on the chart is to identify as to which trend the price might be ready to follow. Not every trendline could be correct. Every trendline has a different purpose. Some might be associated with long term trends. Others might be associated with short term trends. Depending upon the validity of your trade, different set of trendlines might work for you, e.g. in case you are using a trendline to trail your stoploss, a short term & slightly steeper trendline maybe more useful. Yes, this might sound subjective but subjectivity is what makes the process all the more beautiful.



LEVELS- SUPPORT & RESISTANCE

1. Levels can be drawn using one or more touchpoints. The greater number of touchpoints, the more accurate the level will be, & the greater will be the chances of it being respected by price.



2. Price keeps respecting support as resistance & resistance as support, as price keeps moving. As such, support and resistance tend to switch their roles, per the positioning of prices.



3. The easiest way to draw levels on chart is by using the rectangle tool & using the "extend right" option from the tool settings to extend it towards right. The settings might vary, depending upon the software you're using.
4. Levels can be drawn by connecting, end of the wicks or end of the body of the candles.

5. Try not to draw to many levels, too close to each other making them insignificant to trade.

MULTI TIME FRAME ANALYSIS

Swing Trading;

- Weekly (for broader outlook):
  To mark crucial trendlines on a higher time frame, weekly time frame is crucial, especially when used with logarithmic price scale.
- Daily:
  Daily time frame is crucial to begin marking the recently important support, resistance & trendlines.
- 4 Hour:
  The 4 hour time-frame has a similar purpose as the 1-hour time-frame but more useful to track internationally valid instruments, like gold, silver, crude or forex.
- 1 Hour:
  Useful for updating the levels every day, mark any missed but important levels or trendlines & trade management

Intraday Trading:

- Hourly
  Hourly timeframe for intraday trading is crucial to begin marking the recently important support, resistance & trendlines.

- 15-mins
  Useful for updating the levels and mark any short-term trend lines. It is also utilized for trade management.

FIBONACCI RETRACEMENT

Fibonacci Retracement forms a big part of my trading setup. It acts as one of the key confirmations while analysing the charts.

Reference Link: Fibonacci Retracement

https://drive.google.com/file/d/1hu-QHyPFPrv_lA9DtIsiQwkx0MEePbiR/view?usp=drivesdk

Fibonacci Broader plotting Idea:

- Analyse the general overview of price movement & figure out the trend
- Analyse the swing points & draw Fibonacci retracement

- Fibonacci levels of 23.6%, 38.2%, 50%, 61.8%, 78.6% are considered the most crucial retracement zones. The importance of any single Fibonacci level varies with the script you're analysing.
For example, for crude oil in a bullish momentum, I have seen maximum retracements happening till 78.6% zones. It's quite easy to figure out once you have well back-tested the script you are trading.



Example of a chart in bearish trend

- Fibonacci Retracement levels work best when used in conjunction with levels like support or resistance or trendline.

- Price behaviour & Fibonacci retracement relationship:
    - Strong downtrends are usually followed by weak relief rallies, hence smaller retracements.
    - Bullish moves are associated with slower price moves, generally offering opportunities with deeper retracements.
    - Always try & use Fibonacci retracement in the direction of broader trend & not short term trend.

BUILDING TRUST

Building Trust with the Chart is basically how we combine the above mentioned reasonings & derive a multiple confirmation-based system from it.

One can also call this "spotting the liquidity" on the chart but I don't want to complicate things here. Liquidity is basically an area which could be associated with the analogies of stoploss hunting & traps on the charts. As a price action trader, studying about liquidity can be daunting because it, more often than not, has been associated with other sorts of trading methods like SMC.

Thing is, trading traps & stoploss hunting have been pretty much valid even before SMC trading concepts came into picture. They just didn't have fancy nomenclature. Our purpose is wanting to master liquidity spotting in a manner that resonates with the basic building blocks of "price behaviour understanding" while keeping it as simplified as possible.

HOW TO SPOT LIQUIDITY ON CHART USING PRICE ACTION TOOLS

You can spot liquidity on the chart by using **multiple confirmations** of price action (also called confluence).

So, to simplify, liquidity, multiple confirmations & confluence are basically the same thing.

The better you get at spotting multiple confirmations on the chart, the better trader you will be.

Examples of confluence:

1. Level + Trendline + Fibonacci retracement

2. Level + trendlines



HOW DO WE PLAN ENTRIES IN OUR TRADE?

Spotting liquidity provides us with the exact area where a higher quantum of volumes can be expected & if you are correct about the direction, you try to place your trades as per the broader structure & trend of the chart.

How to identify the Structure & trend of a chart?

1. Identification of a good trend:



As we observe price tends to pullback to previous highs after forming higher highs. This is a good indication of trend continuation to look for opportunities in the direction of trend.

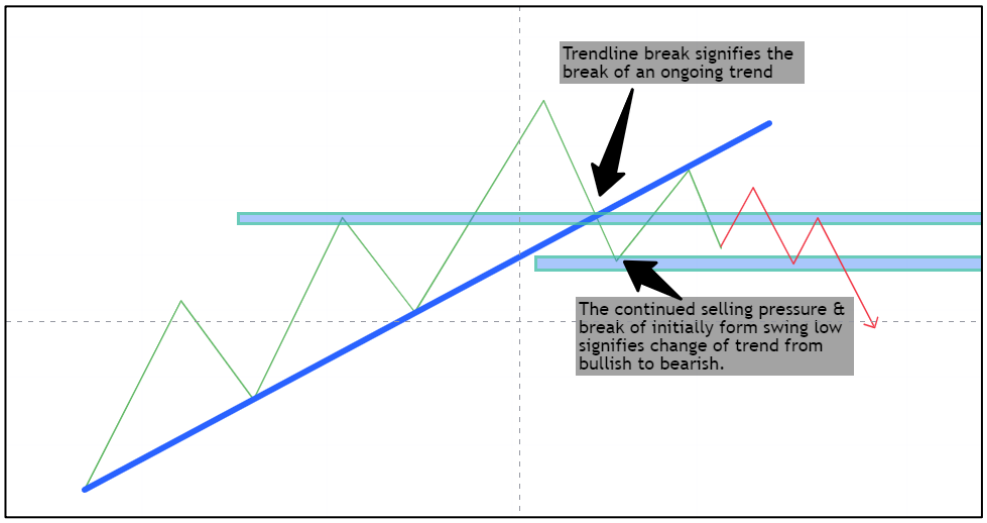
2. Identify price behaviour



Simplest way to analyse a trend is to start from the left corners.

- If price seems like moving bottom left corner to top right, it seems to be in uptrend
- If price seems like moving from top left corner to bottom right, it seems to be in downtrend.
- For intraday trading, 1 Hour is a suitable time frame to analyse this
- For swing trading, Daily or 4 Hour (in case of international scripts) can be used to analyse this.

3. Identification of trend reversal.



There are two ways in which the confirmation of beginning trend reversal happens:

- To begin with, price breaks the ongoing trendline to signify the break of ongoing immediate trend
- Then price consolidates or basically a fight happens between buyers & seller, where if sellers tend to take control & force a breakdown below the most recent swing low, the trend is said to have changed

4. Identification of sideways price behaviour



Price moving in between ranges can be confusing especially for directional traders as it doesn't indicate any reversal or immediate momentum. It is always better to wait until major levels get broken for directional entries

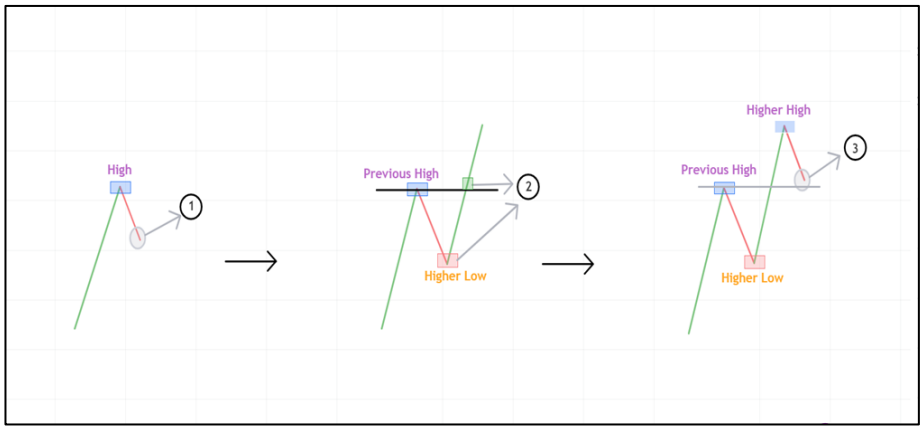
5. Choppy price behaviour



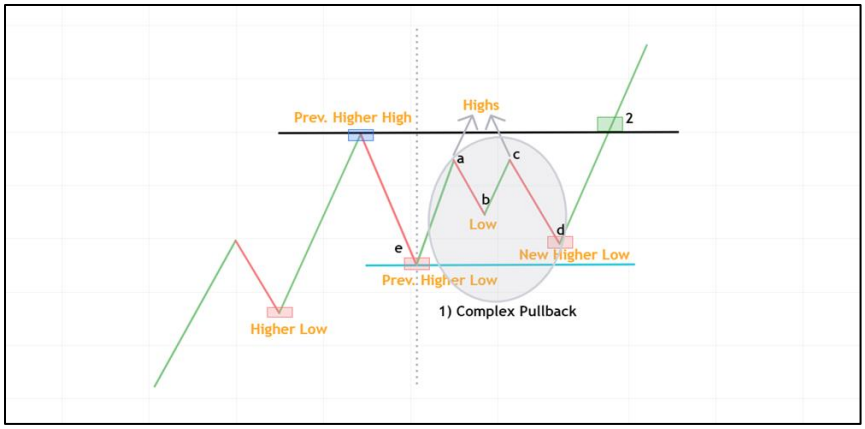
When price behaviour, despite being in a trend, doesn't make sense & seems to be creating chaos at every retest or through a trend, it's best to not fight the price & sit out.

The pointer indicated at "counter trend" in the above chart seems to be an area of chaos especially when you have identified that the broader trend on the chart was bullish. Sit back during counter trend moves (any moves against the trend), wait for a solid multiple confirmation kind of "retest", as mentioned in the chart, & then try to plan an entry there with the help of level, Fibonacci & maybe a trendline after that, that sort of helps price hold until the trend is intact.

6. Identify a pullback:



- After forming a high, if price is moving downside we cannot consider any point as a swing low until price breaks the recently made high
- Now in chart 2, price moved upside to break the previous high (green area). At this point, the swing low has successfully formed and area between previous high and swing low is called a pullback.
- Chart 3 signifies pullbacks being repeated as a part of healthy price wave.
- Some pullbacks can be complex too as shown in the image below.



Price structure before dotted line represents clear highs and lows where we can identify direction of trend easily. In area beyond this line, many traders get confused of direction of trend thinking point 'd' is a lower low when in fact it is technically a higher low. The structure formed by price between 'abcd' is referred to as complex pullback.

TRADING SETUP & DEPLOYMENT

- We are working with trading strategy in which we are trying to trade in the direction of an ongoing trend. The idea is not trade direct breakouts & wait for retracement entries backed by liquidity.



- The idea is to plan entry at a retracement zone where price has a tendency to reverse form & continue momentum in original direction. In the above image, a crucial support was broken, the retracement happened in which price tries to pullback towards the broken level, also called retest.

- Mere retest of the broken level is not enough a confirmation to plan entry. Instead, high liquidity zone needs to be spotted which as we discussed before requires spotting at-least 3 confirmations.



In the above chart as we switched to a lower time frame, we were able to spot an area that provided us with 3 confirmations to plan an entry.

- In order to plan an entry, there are two ways:

1. Entry Model 1- Plan a direct entry
   As soon as the price reaches high liquidity zone, one can directly enter into the trade as depicted by the chart below. Stoploss in this situation can be put slightly above the next retracement whilst keeping a suitable distance away from the trendline as well.



In the above chart, a bearish entry can be supposedly planned as soon as price reaches the area of high liquidity.
Target can be plotted considering the next crucial support, whilst paying attention any minor levels that may pop up in between. They, sometimes, have the tendency to create chaos.

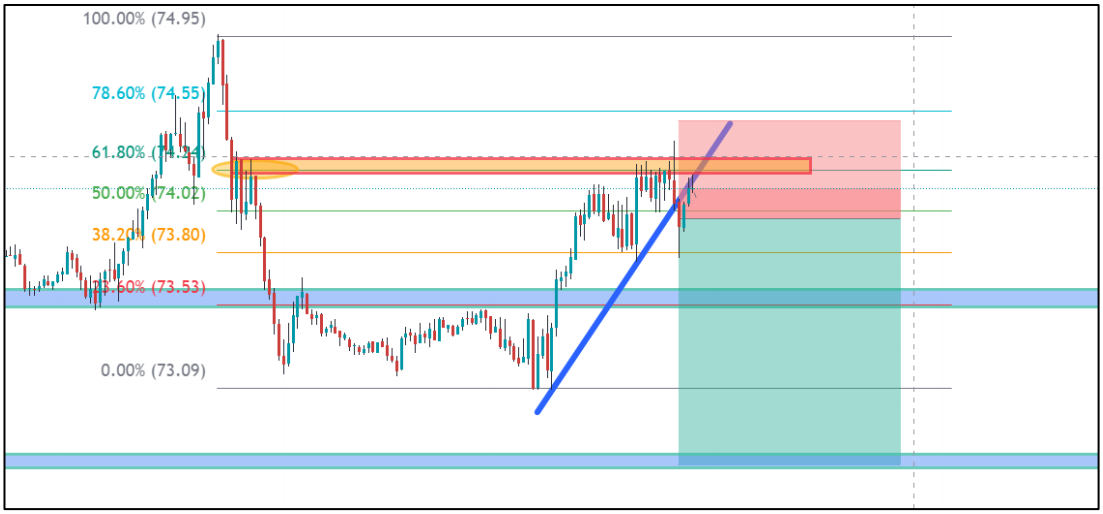
2. Entry Model 2- Plan entry after an extra confirmation:

The idea here is to wait for the immediate trend to get broken and then plan entry after price tests the high liquidity zone.



In the above chart, entry must be planned as soon as the trendline gets broken & there is no need to wait for any kind of candle closing confirmation, at-least this is how I use it.
Stoploss has been plotted above the next fib level & above the broader ongoing trendline.

One more way to plan stoploss is slightly above the latest swing high & above the broader trendline, as there would be little to no chance of that level getting tested again if your trade is supposed to work out. This has been shown in the below mentioned example.



- Both entry models discussed above are equally valid depending upon the script you are trading.
  The best practice is to back test the setup on the script that you are planning to trade at least a hundred times to get an idea as to what sort of entry system provides better results.

  Entry model 1 is a bit more rogue & riskier than entry model 2 but some scripts require that rogue entry action process while others might provide with a bit of room & time to wait for entry model 2 scenario.

  You cannot skip the back testing button on your trading journey. You will just have to do it.

- Two scenarios where you might be forced to use entry model 2:

  1. Stoploss associated with Entry model 1 could be too high to make it a good risk to reward ratio
  2. 3 confirmation rule is not getting followed. Let's say you are just getting a level & Fibonacci confirmation & no broader trendline in place, then you will be forced to wait for the third confirmation in the form of short-term trendline break aka Entry Model 2.

HOW TO USE TRENDLINES TO RUN THE TRADE?

- Trendlines can be used to run your profits.
- The idea is to figure out a trend that will be followed once the trade has been executed.



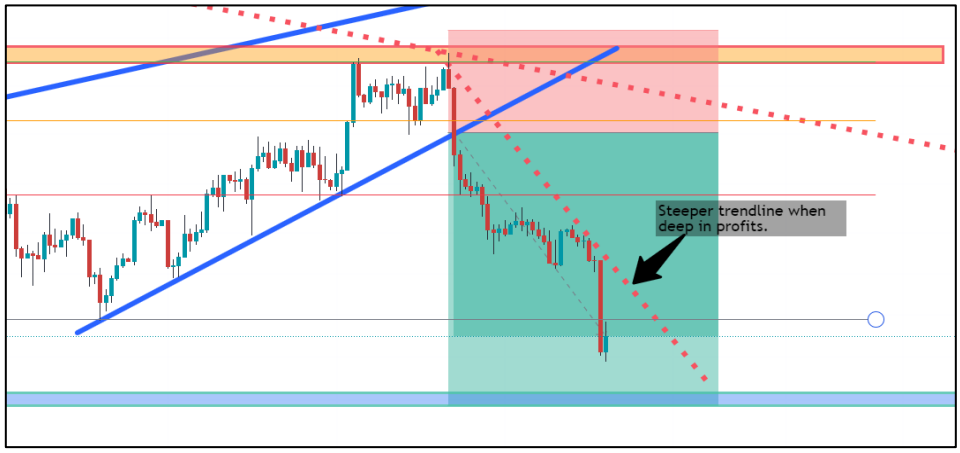
- This trendline can now be used as a trailing stoploss on candle closing basis.
- Suitable time frames:

  Intraday Trading - 15mins

  Swing Trading- 1 Hour



- In this case if your trendline is too steep, the chances of it getting broken are always higher. Relying on a steeper trendline makes sense when you are deep into profits or the target is nearby.



- Otherwise, you should be relying on a broader time frame trendline that provides price the required room to breathe & rest before continuing the trend.
- Usually, it is said the more the touchpoint; the stronger the trendline. But if it is hitting more often, it means it's is getting weaker & you should be cautious.

- In case you end up not taking a trade due to missed opportunity or higher risk exposure, it's best to wait for the chart to create a new confluence rather than forcing any confirmation which doesn't give confidence.

- If an opportunity provides you with a stoploss that's too big to work with, detach yourself from the FOMO & let that trade slide. It's not end of the world. What matters most is the Risk exposure & an entry point that makes complete sense to you, as per your setup.

- If you don't follow the rules of the setup, at one point in your career, one after the other act of compromising with one or other rule will make the process of trading feel shallow. You neither would have any data to back up your performance because you compromised on your trading setup rules, nor you will ever be able to lead to any sort of conclusion as to what kind of strategy works best for you.

- In the long run, missing out on a few trades holds a lot less gravity than you finding yourself lost.

- In trading, making peace with missed opportunities is worth much more than compromising on the rules that make you who you are as a trader. Don't let average human behaviour overshadow your identity as a trader.

- Don't let your mind spiral down into desperation, get obsessed with finding an opportunity, force a trade or you would be thrown out of that trade faster than you can imagine. Who says it's not the mind.

- The truth is you will be missing more moves than you would be able to capture. Be okay with it.